

Outdoor digital advertising

Building-mounted LED — detailed cost estimate, rent, regulatory cash, and SWOT for a first Kochi site (Edappally / Kakkanad class sightline).

MODEL

Rent a commercial building. You pay screen + structure + filings. Landlord provides terrace or facade.

RECOMMENDED FIRST ASSET

One 8 m × 4 m (32 sq.m) road-facing P3.91 / P4 face, volume OEM, IP65, ≥ 5,500 nits.

NOT INCLUDED IN HARDWARE

Ground unipole, pile foundation, new KSEB service line, land purchase.

DATE

07 September 2026 · Kochi · Kozhikode · Kannur

HARDWARE TO SWITCH ON

₹31 lakh

ADMIN + TAX YEAR-0

₹5–8 lakh

CASH TO BE LIVE

₹38–45 lakh

1. How the cost is split

READ THIS FIRST

Three wallets: (A) one-time screen and structure, (B) monthly rent to the building, (C) government and professional filings. Mall kiosks are a different product and are not costed here. A land unipole is ~₹90 lakh; a rented building cuts that to ~₹31 lakh of hardware because you do not build a 15 m pole or piles.

Wallet	Who	When	Planning amount
A. Digital screen + building structure + electrics	You	Once	₹29 L economic / ₹31 L cash
B. Space rent (terrace / facade rights)	You → landlord	Monthly	₹50,000 floor or 18% of ads
C. Admin, lawyers, engineers, year-1 tax	You	Year 0	₹5–8 L
D. Landlord deposit	You (refundable)	At signing	3–6 months' rent (₹1.5–6 L)
E. Power, CMS, AMC, tax after go-live	You	Monthly	₹75,000–₹90,000 besides rent
Cash to be live (A + C + D, recommended site)	You	Before first loop	₹38–45 lakh

Recommended site = one 32 sq.m face, volume OEM at about USD 330 / sq.m FOB, commercial building, Kochi Class A sightline. IGST paid at Cochin Port is claimed as ITC and is inside the ₹31 L cash figure (~₹2.1 L).

2. One-time hardware — three formats

All figures are economic CAPEX (IGST excluded from the total, shown separately as cash). USD/INR 84. Customs on CTH 8528 52 00: BCD 10% + AIDC + SWS ≈ 12.1% of CIF. Conservative reclass to 8528 59 00 (20% BCD) would add roughly ₹1.0–1.3 L on a single 32 sq.m face.

Cost bucket	Compact 6×3 m 18 sq.m, 1 face	Recommended 8×4 m 32 sq.m, 1 face	Dual-face rooftop 2 × 32 sq.m
A. Digital screen (LED FOB + freight + BCD/AIDC/SWS)	₹6.9 L	₹11.6 L	₹22.6 L
B. Structure on the building (steel, anchors, walkway, waterproofing)	₹4.5 L	₹6.5 L	₹9.5 L
C. Setup (electrical, SPD, earth, sub-meter, NovaStar, install, licence pack, spares, 8% buffer)	₹8.3 L	₹10.9 L	₹15.7 L
Economic total	₹20 L	₹29 L	₹48 L
IGST at port (GST credit)	₹1.2 L	₹2.1 L	₹4.1 L
Cash to switch the screen on	₹21 L	₹31 L	₹52 L

Premium cabinets (Unilumin / Absen class, ~USD 650 / sq.m) add about **₹10 lakh** on the 32 sq.m single face (economic ~₹39 L, cash ~₹43 L). Not required for site one if factory FAT (IP65, 5,500 nits, salt spray, 72-hour burn-in) is passed.

Dual-face is worth the extra LED bill only if *both* directions have paying traffic. Otherwise buy one road-facing face.

2.1 Recommended 32 sq.m, one face — line by line

Split	Item	₹
Screen	LED cabinets FOB (32 sq.m × USD 330 × 84)	8,87,000
Screen	Sea freight + insurance to ICTT Vallarpadam	1,50,000
Screen	Customs BCD + AIDC + SWS	1,25,000
Structure	Terrace / facade steel frame, chemical anchors, walkway, waterproofing make-good	6,50,000
Setup	LT panel, Class II SPD, ELCB, earthing $\leq 2 \Omega$	1,80,000
Setup	Building sub-meter / commercial power tap	80,000
Setup	NovaStar TB60 + industrial player + dual-SIM 4G	1,65,000
Setup	Structural PE certificate + year-1 advertisement licence pack	1,50,000
Setup	Hoist / crane, install, 72-hour burn-in	1,20,000
Setup	Spare modules + Mean Well PSU	1,80,000
Setup	Contingency 8%	2,15,000
Economic CAPEX		29,02,000
	IGST cash at port (ITC)	2,09,000
Cash to switch on		31,11,000

Rounded to the nearest thousand. Hardware licence pack in this table is the OEM/file bundle; full lawyer + tax cash is in Section 4 so it is not double-counted in the ₹38–45 L live figure.

3. Renting cost (monthly, to the building)

This is the lease for the wall or terrace — not the screen. Sign a **hybrid**: minimum guarantee or 18% of that board's Gross Advertising Revenue, whichever is higher. Register the licence if the term exceeds 11 months (Kerala Stamp Act + Registration Act).

Location quality	Fixed rent / month	Revenue share alternative	Deposit
Kochi Class A — Edappally, Kakkanad, Vyttila, MG / Banerji sightline	₹70,000– ₹1,20,000	15–18% of board ads	3–6 months
Kochi Class B — good road, weaker sightline	₹35,000–₹60,000	12–15%	3 months
Kozhikode — Thondayad / city arterial	₹40,000–₹80,000	15–18%	3–6 months
Kannur — commercial building	₹20,000–₹40,000	12–15%	3 months

Recommended first contract (Kochi Class A)

Term	Detail
Model	Hybrid: ₹50,000 minimum or 18% of ads , whichever higher, plus GST

Term	Detail
Lock-in	18 months inside a 36-month licence
Deposit	3 months of the minimum (₹1.50 L), interest-free, refundable on make-good
Power	Commercial sub-meter; markup on KSEB energy capped at 20%
Worked rent at 75% sold	Revenue ₹3.75 L × 18% = ₹67,500 / month
Worked rent if unsold	Floor ₹50,000 / month

Do not take ₹1.5 lakh fixed rent on a dark screen. If the owner wants equity instead of rent: owner gives space + deposit waived; you put in the ₹31 L hardware; split ads **70/30 or 80/20 in your favour** in year 1.

3.1 Other monthly costs (not rent, still yours)

Item	32 sq.m, 1 face	Dual-face rooftop
Electricity (building bill + ~20% markup), 18 h, auto-dim	₹50,000–₹60,000	~₹1,00,000
CMS + 4G	₹3,500	₹3,500
Local technician / AMC	₹8,000–₹12,000	₹12,000–₹18,000
Advertisement tax (planning)	~₹13,000 Class A	~₹26,000 Class A
Total besides rent	₹75,000–₹90,000	₹1.4–1.5 L

All-in monthly (rent + power + tax + upkeep), Kochi Class A, one face: **₹1.2–2.0 lakh** depending on whether the hybrid rent is on the floor or on 18% of a full loop.

4. Administrative and regulatory cash

Renting a building does **not** skip ss. 271–272 of the Kerala Municipality Act. You skip piles and a roadside pole. You still need the Secretary's written permission, tax, a structural certificate on *that building*, commercial power, and usually an Inspectorate file. Highway-facing facades still attract PWD / NHAI.

4.1 One-time filings and professionals

Item	Typical ₹	Time
Company + GSTIN + current account	20,000–40,000	2 weeks
IEC (only if importing LED)	3,000–10,000	1–2 weeks
Advocate: title check + leave-and-licence	40,000–80,000	2–3 weeks
Stamp + registration of 36-month licence (~5% of average annual rent)	40,000–70,000	1–2 weeks
Structural audit of existing building + LED frame design	75,000–1,50,000	2–4 weeks
IBPMS / KMBR drawings + scrutiny	40,000–1,00,000	30–60 days

Item	Typical ₹	Time
Advertisement file, miscellaneous Corporation fees	10,000–25,000	with s. 272
Electrical Inspectorate scheme + inspection	8,000–25,000	15–30 days
KSEB commercial sub-meter / load paperwork	10,000–80,000	15–45 days
AAI NOCAS (if roof enters CIAL surfaces)	15,000–50,000	15–45 days
PWD / Road Safety / NHAI pack (if the face addresses a highway)	15,000–40,000	30–90 days
Year-1 public liability (₹2 Cr) + equipment insurance	20,000–40,000	1 week
Professionals + filings, excluding advertisement tax	₹3–6 L (use ₹4.5 L)	
Year-1 advertisement tax — Class A digital 32 sq.m × ₹5,000	₹1.60 L	Pay before permission
All-in year-0 regulatory cash	₹5–8 lakh	Critical path 8–12 weeks (no NH) or 4–6 months (highway-facing)

Tax formula used: area (sq.m) × zone rate × digital factor 2.0. Class A planning rate ₹2,500 static → ₹5,000 digital. Class B → ₹3,000 digital (₹96,000 / year on 32 sq.m). Confirm the live council schedule; the Act does not freeze a statewide rupee rate.

4.2 Gates that still apply on a rented building

Gate	Why it still applies	If skipped
Owner / association NOC	No right to load terrace or facade	Removal; you eat the screen
ss. 271–272 permission + tax	Private buildings are not exempt	Fine, seizure, High Court climate
KMBR / IBPMS	LED frame is an advertising sign / outdoor display	Unauthorised addition
Structural certificate of the building	32 sq.m LED is a wind sail on someone else's slab	Collapse / insurer void
Electrical Inspectorate	Advertising / neon-class installations	No lawful energisation
Commercial meter	12 kW cannot sit on domestic LT	Back-billing, disconnection
PWD / NHAI	If the face sells NH 66 or SH traffic	Hazard notice even on private terrace
AAI NOCAS	Extra height near CIAL	Height cut

Do not order full FOB cabinets until there is a written owner NOC and a Corporation file number. Import can beat permission by six weeks; warehouse then costs more than the fee.

5. Cash to be live and monthly P&L

5.1 Money required before the first paid loop

	Compact 18 sq.m	Recommended 32 sq.m, 1 face
Screen + structure + electrics (cash, incl. IGST)	₹21 L	₹31 L

	Compact 18 sq.m	Recommended 32 sq.m, 1 face
Admin, lawyers, engineers, filings, year-1 tax	₹5–8 L	₹5–8 L
Landlord deposit (3–6 months)	₹1.2–3.6 L	₹1.5–6.0 L
Cash to be live	₹27–33 L	₹38–45 L

5.2 Kochi Class A — 32 sq.m, 10 slots × ₹50,000

	50% sold	75% sold	90% sold
Gross advertising revenue	₹2.50 L	₹3.75 L	₹4.50 L
Hybrid rent (max of ₹50,000 and 18%)	₹50,000	₹67,500	₹81,000
Power + tax + CMS + AMC (mid)	₹82,000	₹82,000	₹82,000
Left before sales commission and promoter salary	₹1.18 L	₹2.26 L	₹2.87 L

At 75% sold, simple payback on ₹41 L live cash (mid-range) is about **18 months** before commission. Pre-sell at least half the loop before the crane. Programmatic (Hivestack / Lemma) is for unsold time, not the plan.

Compare: two Lulu/Forum kiosks at ₹8,500/slot do not cover a small ops team. One Kochi outdoor face on a rented building does, if the sightline is real.

6. SWOT — outdoor digital advertising (Kerala)

Scoped to a **building-mounted outdoor LED** in Kochi / Kozhikode / Kannur — not mall MUPI, not a flex hoarding, not a ground unipole on NH land.

STRENGTHS

- Unit economics dwarf indoor: one 32 sq.m Kochi face at 75% sold leaves ~₹2.3 L/month after rent and power; a mall kiosk at ₹8,500 leaves ~₹0.3–0.4 L.
- Building mount cuts first-site hardware from ~₹90 L (land unipole) to ~₹31 L.
- National and regional brands already buy outdoor; jewellery, auto, education, healthcare and QSR are live categories in Kochi.
- Illegal flex removal and Corporation-designated LED create scarcity of *legal* digital inventory.
- Programmatic SSPs (Hivestack, Lemma) can fill remainder-of-loop without a second sales team.
- 24×7 auto-dimmed presence; proof-of-play logs support both landlord audits and brand IO closes.
- Hybrid rent shares downside with the building owner.

WEAKNESSES

- Permission is political and slow (30–90 days; 4–6 months if highway-facing). Hardware can arrive before the file moves.
- KSEB is the second-largest site cost after rent (~₹50–60k / face / month).
- Coastal monsoon: salt, 3,000 mm rain, 39 m/s design wind; cheap iron frames and acrylic conformal coat will fail.
- Older Kochi bye-law language favoured still creatives over film; video loops may be restricted until Town Planning confirms.
- Single-site concentration: one demolition order or slab refusal kills the only asset.
- Working capital: IGST at port, 3–6 months' deposit, and tax before permission, on top of OEM payment terms.
- You do not control the building's power quality or terrace leakage — contract for it or lose modules.

OPPORTUNITIES

- Kakkanad / InfoPark / Edappally catchments have advertisers who already spend on outdoor and digital.
- Corporation's own 50-board LED plan validates digital and can be a partner or a pricing umbrella — not only a rival — if you sit on private commercial buildings with clean files.
- October–November civil window is open now (southwest monsoon tail); foundations/anchors before next 1 June.
- Landlord JV (70/30) if cash is tight: you bring the screen, they bring the sightline.
- Bundle a later Lulu/Forum kiosk as "highway + mall" once the outdoor face is sold — do not lead with malls.
- Kozhikode Thondayad as site two after Kochi occupancy > 70%; less contested than NH 66 Kochi.
- Volume OEM / CKD at USD 330 / sq.m with a hard FAT keeps payback inside ~18 months on building-mount cash.

THREATS

- High Court and Corporation enforcement against unauthorised boards; private terrace is not a loophole without s. 272 leave.
- NHAI / MoRTH: no commercial hoarding in NH RoW; a facade that reads NH 66 traffic can still be treated as a hazard.
- Town Planning review of large digital boards (footpath, glare, motion) can tighten brightness and content rules after you have sold video.
- Structural / monsoon failure — public liability and criminal exposure; insurers will ask for the building certificate.
- Customs reclass to 8528 59 00 (20% BCD) or container exam in rain voiding IP warranty.
- Landlord rent reset at renewal; association politics in mixed-use buildings.
- Residential or domestic-meter buildings: back-billing and neighbour glare petitions.
- If you cannot pre-sell 50% of the loop, power + floor rent still run ~₹1.3 L/month on a dark board.

7. Decision and 90-day sequence

RECOMMENDATION

Start with one road-facing 32 sq.m LED on a commercial Kochi building (Kakkanad / Edappally class), not a mall cluster and not two outdoor boards. Budget ₹38–45 lakh to be live. File permission before paying the OEM in full. Pre-sell 50% occupancy. Add Kozhikode or a mall kiosk only after this face is above ~70% sold.

Week	Do	Do not
1–2	Shortlist commercial buildings with a sightline; written owner NOC; advocate on title	Apartment terraces; domestic meters; plots touching NH RoW
3–4	Structural engineer on the slab; hybrid licence drafted; IBPMS + s. 272 file opened	Order full FOB LED
5–8	Inspectorate drawings; sub-meter; tax challan when demanded; factory FAT / booking	Highway-facing building without a PWD/NHA view
9–12	Permission in hand; cabinets ship; pre-sell 5–10 slots; install night window; 72 h burn-in	Go live dark; skip auto-dimming affidavit

If the only buildings on offer are shops glued to a service road or residential roofs, **do not spend the ₹31 lakh**. The sightline is the asset; the screen is a commodity.

Planning rates as of September 2026. Sources used in the parent blueprint: Kerala Municipality Act ss. 271–272; KMBR 2019; KSERC LT-VII(A) Gazette 05-Dec-2024; Kerala Electricity Duty Act 1963 (10%); IS 875 Part 3 Vb 39 m/s; IRC:46-1972; CBIC heading 8528. Confirm with Kochi / Kozhikode / Kannur Corporation Revenue, a Kerala-enrolled advocate, and CBIC before committing capital. Regenerated with python3 scripts/build_cost_swot_pdf.py.